

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's May 4, 2022 Order undersigned counsel for Complainant MCS Industries, Inc. ("MCS Industries" or "Complainant") and Respondent MSC Mediterranean Shipping Company SA ("MSC" or "Mediterranean"), collectively the "Parties," jointly file this report addressing the status of discovery and a proposed schedule for this case.

I. Status of Discovery

A. Complainant's Statement

As required by the Hague Convention, MCS Industries has had Chief Judge Wirth's letter of request and supporting materials translated into French, which translation and certification process was initially completed on May 24, 2022. Thereafter, MCS Industries reviewed the translation for completeness and determined that an additional certification was required, which the translator provided on May 26, 2022. MCS Industries transmitted the English originals and certified translations via mail on May 27, 2022 to both the designated Hague Evidence Convention Central Authority for the canton of Geneva (the Tribunal de première instance), which received them on May 31, 2022, and to the Swiss Federal Office of Justice which received them on June 1, 2022.

MCS Industries has continued to review and prepare to produce documents pursuant to MSC's second set of RFPs, and plans to produce responsive, non-privileged materials.

MCS Industries previously reviewed the materials provided to MCS Industries by Expeditors in November 2021 and determined that they were not responsive to MSC's first set of RFPs. As we have already informed MSC, MCS Industries will reexamine the remaining materials for responsiveness to MSC's second set of RFPs.

B. Respondent's Statement

Upon receiving notice from MCS Industries' counsel on June 2, 2022 that it had submitted the Letters of Request, MSC requested and received copies of these submissions to the Central Authority in Geneva and the Swiss Federal Office of Justice, which as stated above had been received by these offices earlier this week. To MSC's knowledge, the Swiss authorities have not yet acted on the Request, which they received only this week. The Letter of Request seeks receipt of the response by July 15, 2022, stating as the sole "reason for urgency" to "ensure compliance with the United States Shipping Act of 1984." MSC does not have any information as to when or how the Swiss authorities will act on the request. MSC will be in a position to respond to the request once the Swiss act.

MSC responded to Complainant's third set of requests for production ("RFPs") and second set of interrogatories on Respondent on April 13, 2022, the time for response having been extended by agreement for one week. MSC answered a number of the interrogatories and objected to others, and agreed to provide documents for the 2020 contract year as to its handling of requests for carriage under the contract consistent with its response to prior discovery requests as to the 2021 contract year, objecting to other requests. MSC has not received a request to meet and confer

on its objections, or otherwise received any communication from MCS Industries as to its April 13 discovery responses.

Complainant has not provided any discovery since February 18, 2022, when it responded to MSC's Second Set of RFPs and Second Set of Interrogatories by providing about 60 pages of weekly "Booking Report" emails sent from Expeditors to Complainant from January through August 2021. Complainant had not previously provided these booking reports even though they were responsive to MSC's discovery served in September, 2021 and to a specific request to Complainant made in December 2021 during the deposition of MCS's transportation manager. MCS has promised to provide the "Booking Report" emails it has for the period May through December 2020, but has not yet done so.

Complainant has also forwarded to MSC booking reports and other documents it received from Expeditors in February, adding confidentiality designations to those documents that go beyond what Expeditors itself designated. MSC understands that Expeditors provided additional relevant documents to Complainant in November, 2021 but it is not clear that any of those have yet been provided to MSC. As discovery moves forward in the case MSC will continue to address with Complainant the deficiencies in its production in the hope these can be resolved without Your Honor's intervention.

MCS Industries caused subpoenas to be issued on November 3, 2021 to third parties Shandong Smart International Logistics Co., Ltd. ("Smart"), Qingdao JET Marine Logistics Co., Ltd. ("JMS"), and China Ocean Shipping Agency, Tianjin Co., Ltd., doing business as PENAVICO Tianjin ("Penavico"). MCS Industries has apparently been unable to obtain any documents or information pursuant to these subpoenas, and it is not clear whether the subpoenas have been properly served. These third parties are not under MSC's control, however MSC has

contacted them to determine whether it can obtain responsive documents pursuant to MSC's contractual rights with these parties and is awaiting response.

II. Proposed Schedule

A. Complainant's Position

Assuming Mediterranean can certify by July 15, 2022 (the deadline set in the Letter of Request) that it has fully complied with the Presiding Officer's December 8, 2021 Order Granting Motion to Compel pursuant to the Letter of Request, as well as with MCS Industries' RFPs and interrogatories, then MCS Industries would propose the following schedule:

- July 15, 2022: Mediterranean certifies compliance with Order Granting Motion to Compel and Letter of Request and completion of productions in response to MCS Industries' RFPs and responses to Interrogatories; MCS Industries completes production in response to Mediterranean's second set of RFPs (including any relevant documents received from Expeditors responsive to the second set of RFPs)
- August 15, 2022: Parties may resume noticing and taking fact depositions
- October 14, 2022: Close of fact discovery
- December 2, 2022: Close of expert discovery
- January 6, 2023: Motion(s) for summary disposition, if any
- February 3, 2023*: Complainant files brief with proposed findings of fact and appendix
- March 3, 2023*: Respondent files opposition brief with proposed findings of fact, responses to Complainant's proposed findings of fact, and appendix
- March 24, 2023*: Complainant files reply brief with responses to Respondent's proposed findings of fact

* Dates would be extended to 3 weeks after disposition of all motions for summary disposition if any such motions are filed.

Respondents' Position

As stated above, MSC does not know when and how the Swiss authorities will respond to the Letters of Request, which they have received only this week, or if they will do so by July 15. In addition, as set out above, MCS Industries has made only a very minimal production pursuant to the discovery requests MSC served in January, and has not fully complied with the discovery

served last September. MSC agrees with MCS Industries that further depositions should not be undertaken until after documentary discovery is substantially complete. Discovery from MCS Industries is far short of substantially complete. MSC will not be able to move forward with the discovery subject to the Swiss procedures unless and until it is authorized to do so by the Swiss authorities, who have just received the Letters of Request this week. MSC respectfully submits that it would prove more efficient to see how the Swiss procedures progress before setting a procedural schedule, rather than setting a schedule that may well require substantial amendment.

Respectfully submitted,

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